



STAR BENCH (FROM LEFT)

Dinesh Kumar Khara, former Chairman, SBI; Kalpana Morparia, Former Chairman, J.P. Morgan, South & Southeast Asia; Jayant Sinha, Former Chair, Standing Committee on Finance and Former Minister of State for Finance; Subhash Chandra Garg, Former Economic Affairs Secretary and Finance Secretary; Gunit Chadha, Founder & MD, APAC Financial Services, and Former CEO, Deutsche Bank, Asia-Pacific; and, Siddharth Zarabi, Editor, BT

THE JURY MEMBERS

for the BT-KPMG Survey of India's Best Banks and NBFCs recently held a wide-ranging discussion, moderated by Siddharth Zarabi, Editor of *Business Today*, on the country's financial sector. The jury was headed by Jayant Sinha, Former Chair of the Standing Committee on Finance and Former Minister of State for Finance, Government of India, and its other members were Dinesh Kumar Khara, former Chairman of the State Bank of India; Kalpana Morparia, Former Chairman of J.P. Morgan, South & Southeast

Asia; Gunit Chadha, Founder & MD of APAC Financial Services and Former CEO of Deutsche Bank, Asia-Pacific; and Subhash Chandra Garg, Former Economic Affairs Secretary and Finance Secretary, shared their views on various aspects of the banking sector. Edited excerpts:

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As we head into 2025, where does India's banking system stand?

Sinha: The Indian financial system is doing extraordinarily well right now. The hard work of the last 10 years to restore strength and resilience to the Indian financial system is paying off. Whether we look at our public sector banks, our private banks, or NBFCs, all are doing very, very well in terms of growth, profitability, non-performing assets (NPAs), and also in terms of the services that they are delivering to customers. And the innovation that we are seeing is quite remarkable. We are also pushing the envelope in terms of what is possible for customers as well.

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One of the remarkable features in the most recent quarter for the top four banks is a return on equity of 16-20%. Indian banks are running a very healthy book. How did that happen?

Khara: What has happened is that whatever

pitfalls were there in the system were evaluated very clearly, and remedial actions were taken. It has now become part of the policies and practices of the banking system as a whole to identify risk in good time and ensure that there is sufficient mitigation. I would also like to mention that banks have been very well capitalised over the past couple of years. And it is not merely underwriting that has improved, but also very effective control and follow-up. That has helped in terms of ensuring that the quality of assets remains the best, because all said and done, for banks, the majority of earnings come from interest. That is one of the reasons why ROEs are quite high, and so are ROAs.

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With that level of ROEs, is everything hunky-dory, or are you concerned about some of the shadows at the fringes?

Morparia: I have been in banking now for 49 years, and this is truly the golden period. And I would give a lot of the credit to the use of technology. So, whilst recognising concerns in terms of credit growth, particularly in the unsecured segment, I think part of that is actually driven by switching from the unorganised sector into the organised banking or NBFC sector. And